25901834 **Reg.No : .....**

Name : .....

MAHATMA GANDHI UNIVERSITY, KOTTAYAM

MGU-BVOC (HONOURS) Regular EXAMINATION April 2026

second SEMESTER

Skill Development Components (SDC) - MG2SDCAAT102 - APPLIED BANKING

(2025 ADMISSION ONWARDS)

Duration: 1 hour 30 minutes **Maximum Marks: 50**

Remember(K), Understand(U), Apply(A), Analyse(An), Evaluate(E), Create(C), Skill(S), Interest(I) and Appreciation(Ap)

Students should attempt at least one question from each course outcome to enhance their overall outcome attainability.

Part A

SHORT ANSWER

Answer any **5** questions

Each question carries **4** marks

1. Define capital adequacy norms.Explain its objectives [A] / [CO2]
2. What is Financial Inclusion? Explain its importance. [A] / [CO2, CO3]
3. Define endorsement under the Negotiable Instruments Act. [An] / [CO5]
4. How to apply for a loan step by step? [U] / [CO5]
5. What is the role of clearing house in cheque processing? [U] / [CO4, CO5]
6. Give two definitions of a bank by economists. [U] / [CO1]
7. What is PMJDY (Pradhan Mantri Jan Dhan Yojana)? State its objectives. [A] / [CO3]
8. Explain the banker as a trustee [An] / [CO5]

[4x5 = 20]

Part B

ESSAY

Answer any **5** questions

Each question carries **6** marks

9.	Explain four differences between Debit Card and Credit Card.	[E] / [CO2, CO3]
10.	Explain how the RBI controls credit and regulates the banking system in India.	[U] / [CO1]
11.	Write any four uses of SWIFT in banking.	[U] / [CO2, CO3]
12.	What are the advantages of opening a Savings Bank Account?	[A] / [CO4, CO5]
13.	Discuss the advantages of opening a savings bank account.	[U] / [CO4, CO5]
14.	What are the important functions of commercial banks?	[U] / [CO1]
15.	Explain the legal consequences of dishonor of cheque.	[U] / [CO4, CO5]
16.	Discuss the growth of modern banking systems in the world.	[U] / [CO1]

[6x5 = 30]